



DEPARTMENT OF THE NAVY
COMMANDER
NAVAL FACILITIES ENGINEERING SYSTEMS COMMAND PACIFIC
258 MAKALAPA DRIVE SUITE 100
PEARL HARBOR HI 96860-3134

IN REPLY REFER TO:

J&A No. 25-026

CLASS JUSTIFICATION AND APPROVAL
FOR USE OF OTHER THAN FULL AND OPEN COMPETITION

1. Contracting Activity. Department of the Navy, Naval Facilities Engineering Systems Command, Pacific (NAVFAC) Pacific, Joint Base Pearl Harbor-Hickam, Hawaii.

2. Description of the Action Being Approved

a. This Class Justification and Approval (CJ&A) authorizes and approves, on a brand-name basis, the use of Schneider Electric PowerLogic ION8650-B (64MB) electricity utility revenue meters for the Marine Corps' defense policy review initiative program. The use of Schneider brand meters provides for Advanced Metering Infrastructure (AMI), front-end interface, and software in contract actions requiring interface with the networked AMI system at Andersen Air Force Base (AAFB), Marine Corps Base Camp Blaz (MCBCB), and Naval Base Guam (NBG) (referred to in this document as 'Installations.') This CJ&A will not provide for full and open competition.

b. All Schneider Electric PowerLogic ION8650-B (64MB) meters are authorized under this CJ&A regardless of method of execution or procurement strategy (i.e., contracted, in-house shop forces, base operating support contracts, or materials supply chain contractors).

c. This CJ&A supersedes CJ&A No. 20-016 for the use of Schneider Electric PowerLogic ION8650-B (64MB) meters for the Defense Policy Review Initiative Program, which expires on 30 September 2025. The authority to act under this CJ&A expires on 30 September 2030.

3. Description of Supplies/Services

a. The use of Schneider Electric PowerLogic ION8650-B (64MB) meters and front-end interfaces will be required for all projects that require a connection to the identified existing Installations networked facility-related control system (FRCS), commonly referred to as the Navy Base Guam AMI Network.

b. AMI system provides centralized monitoring of facility energy consumption for facilities at multiple installations equipped with advanced energy meters. Meters are tied to a private fiber network through a radio frequency mesh with Schneider Electric (Schneider) power monitor expert software residing on a separate front-end server. Data from the AMI front-end server is available to multiple users through the control system platform enclave. The network described above is referred to herein as the AMI Network.

c. The Schneider Electric PowerLogic ION8650-B (64MB) meters will be configured and programmed using Government-licensed software from Schneider. This requirement does not restrict who can install, commission, test, maintain, or operate the meters, and there are several known sources who can provide such services.

d. The total estimated value for the use of Schneider Electric PowerLogic ION8650-B (64MB) meters through 30 September 2030 is [REDACTED], based on the estimated number of projects expected to utilize this equipment.

e. Estimated Dollar Value of Brand Name Equipment (2025-2023)

MILCON (Military Construction):

MAMIZU (Government of Japan Funding):

Total:



f. A non-exhaustive listing of the projected projects that will utilize this equipment is provided in Appendix A, enclosure (1).

4. Statutory Authority Permitting Other Than Full and Open Competition. The statutory authority permitting other than full and open competition is Title 10 U.S.C. 3204(a)(1) and (b)(B)(i) and (ii), as implemented by the Federal Acquisition Regulation (FAR) 6.302-1, "Only one responsible source and no other supplies or services will satisfy agency requirements."

5. Rationale Justifying Use of Cited Statutory Authority

a. The Installation has reasonable need for standardization and interoperability of existing advanced energy metering systems that will require a connection to the identified Installation AMI Network. Applicable U.S. Government Accountability Office Comptroller General decisions have acknowledged the authority of a federal agency to use other than competitive procedures when there is a reasonable need for standardization or interoperability with existing agency equipment or software, and when it is likely that award to other sources would result in, among other things, substantial duplication of cost to the Government that is not expected to be recovered through competition.

b. To assess the need for standardization and interoperability, a rigorous business case analysis (BCA) was performed on the existing inventory of advanced metering systems connected to the AMI Network, enclosure (2). This BCA evaluated the standardization of advanced energy meters and quantified the annual costs associated with procurement, sustainment of operation and maintenance, and establishment and sustainment of Department of the Navy cybersecurity requirements. Results of this BCA demonstrate the use of Schneider Electric PowerLogic ION8650-B (64MB) meters will be required for all projects that require a connection to the AMI Network, to minimize costs and potential cyber vulnerabilities. In support of future Smart Grid program, all new control systems, unless identified by exception, shall be required to connect to the AMI Network.

c. The Installation requires that advanced energy meters be Schneider Electric PowerLogic ION8650-B (64MB) meters to meet its need for, and achieve the benefits of, standardization and interoperability as follows:

(1) Establish and maintain a defensible cybersecurity posture. Rapid emergence of cyber incidents on critical industrial control systems, which include FRCS, with the potential to

debilitate our installation mission critical assets has catalyzed the need to establish a defensive cybersecurity posture across the shore enterprise. Risk Management Framework (RMF) Authority to Operate (ATO) is required per DoD Instruction 8510.01.

(2) The Installation's ATO status is: the AMI Network is currently in the planning stages of the RMF process as performed by NAVFAC.

(3) The Indicated manufacturer's programmable meters and their associated application software will be authorized per the ATO and provide for the following:

(a) Cost-effectively reduce government information technology cybersecurity risks. Avoid the significant costs and delays associated with obtaining a new ATO for the AMI Network, due to government information technology cybersecurity risks, is required when additional nonconforming hardware or software is added to the system with resultant changes in the security posture of the system. The process of obtaining a new ATO would unacceptably delay the operational use of advanced energy meters for the affected facility and connection of the facility to the AMI Network, resulting in a significant degradation in mission accomplishment.

(b) Similarly, if additional non-conforming equipment and software were added to the AMI Network the associated cybersecurity costs to sustain the inventory of equipment and software and to maintain the ATO would significantly increase. Additionally, minimizing different types of equipment and software permitted on the AMI Network avoids incurring additional risks to system operational availability should the NAVFAC Functional Authorizing Official (FAO) determine that the additional equipment or software has security vulnerabilities precluding obtaining or maintaining an ATO.

(c) Control Systems (such as networked FRCSs) are classified as Platform Information Technology (PIT) systems. DoD Instruction 8500.01 requires that all PIT systems' cybersecurity controls are documented and validated prior to operation and/or deployment. PIT systems on Navy networks must obtain an ATO from the FAO. Additionally, connection or integration into the control system platform enclave and subsequently smart grid requires that the FRCS obtain an ATO from the NAVFAC FAO.

(d) ATOs remain valid for three years as long as the cybersecurity posture of the system does not change. Cybersecurity posture change includes, but is not limited to, system architecture changes or any other changes that increase risk or degrade the security posture. Any cybersecurity posture change must be provided to the Navy Validation Group that approved/authorized the ATO for impact review on that risk approval. When a cybersecurity posture changes, the PIT system normally will be required to complete the authorization process again to obtain a new ATO for the new configuration. Use of different brand advanced energy meters or associated configuration or programming software on the AMI Network results in an undesirable, higher number of changes to the cybersecurity posture of the system. Obtaining an ATO is not the end of the process; maintaining an ATO is also very resource intensive, and the effort increases exponentially when additional hardware or software is added to the system (that

is, requires maintaining cybersecurity controls, vulnerability management, system scans/tests, and similar).

(4) Be able to maximize utilization of existing government-licensed software Schneider ION Enterprise DAS software to configure and program the utility-controlled devices. Other contractors do not offer advanced energy meters that can be configured/programmed with Schneider ION Enterprise DAS software. Although the BACnet open protocol is the required communications protocol for all manufacturers' devices, it only allows for different manufacturers' equipment to share basic point data. It does not allow configuration and programming functions to take place between different manufacturers' devices. For example, manufacturer A's software cannot be used to program manufacturer B's device. Each manufacturer's proprietary software tools must be used to configure or change the program within a device.

(5) Maintain the advanced energy meter data management system so that data from all meters may be presented on a common platform. Using advanced energy meters from the same vendor that produced the data management software eliminates multi-vendor disputes regarding conflicts, standards, protocols, or performance characteristics should the data management system not function as required.

(6) Avoid the significant operational burden and cost of having maintenance and engineering staff become proficient with the configuration, programming, commissioning, operation, and maintenance of meters from different manufacturers. Standardization reduces personnel training costs and decreases procurement costs related to additional equipment, maintenance, and support contracts for another manufacturer's hardware and software, as well as the maintenance of an additional parts inventory. Maintaining multiple solutions is inefficient and creates unnecessary work and overhead that increases the total costs of ownership and manpower costs.

(7) The Installation's technical personnel who performed this BCA have determined that for the Installation, the contract actions authorized by this CJ&A will avoid substantial duplication of cost that is not expected to be recovered through competition. Assuming other brand name meters could be integrated into the Installation's AMI Network to be fully functional, the significant cyber security risks, operational challenges, added costs (including the costs to re-procure the Installation's existing inventory), and other disadvantages arising from the use of different brands of meters outlined above are not expected to be recovered through competition.

6. Description of Efforts Made to Solicit Offers from as Many Offerors as Practicable. 19 August 2025, an announcement was published on the system for award management website, in accordance with Defense Federal Acquisition Regulation Supplement 206.302-1 to identify other potential responsible sources of supply that can provide meters with equal performance and listing/approval requirements comparable to the Schneider Electric PowerLogic AMI ION8650B Meter and ensure full compatibility and interoperability with existing government-licensed Schneider ION Enterprise DAS software. The announcement closed on 3 September 2025 with no responses received. As such, it can be interpreted that there are currently no other responsible sources of supply, other than Schneider, that can meet the Government's requirements.

7. Determination of Fair and Reasonable Cost. The Contracting Officer has determined the anticipated cost to the Government of the supplies/services covered by this CJ&A will be fair and reasonable. The cost associated with a complete replacement is not practicable or cost effective.

8. Actions to Remove Barriers to Future Competition

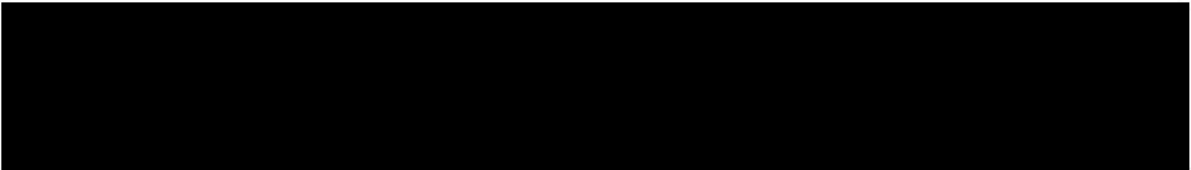
a. There will be no barriers to competition to evaluate the use of full and open competition for acquiring the same or similar supplies in the future. Market research will be conducted for future projects to ascertain the availability of new technology that may provide for other sources to meet the government's needs. The government will consider, as applicable, should any other potential sources of supply for a compatible product be submitted during the source selection process.

b. NAVFAC Pacific A-E Contracts Branch will continue to monitor the AMI industry to determine if a universal AMI configuration becomes available. Since the previous CJ&A was approved, NAVFAC Pacific monitored the industry through a sources sought market analysis in August 2025. As indicated in paragraph 6, the market does not contain any other contractors for the Government's AMI requirement.

CERTIFICATIONS AND APPROVAL

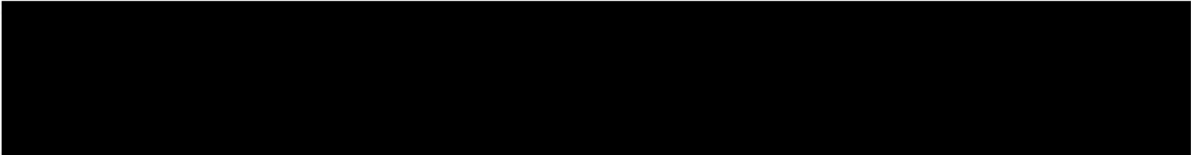
TECHNICAL/REQUIREMENTS CERTIFICATION

I certify that the facts and representations under my cognizance which are included in this Justification and its supporting acquisition planning documents, except as noted herein are complete and accurate to the best of my knowledge and belief.



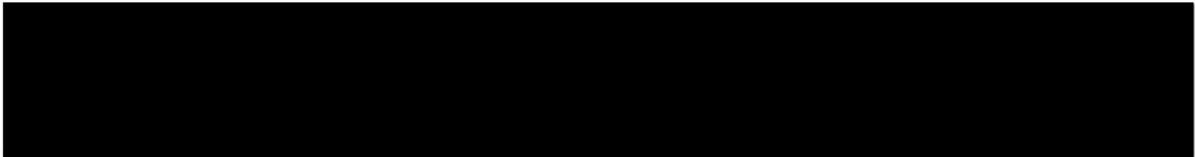
LEGAL SUFFICIENCY REVIEW

I have determined this Justification is legally sufficient.



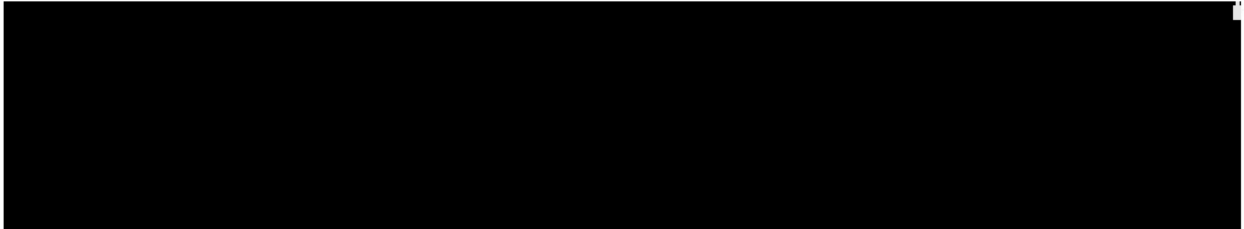
CONTRACTING OFFICER CERTIFICATION

I certify that this Justification is accurate and complete to the best of my knowledge and belief.



ECHELON III COMMANDER APPROVAL

Upon the basis of the above Justification, I hereby approve the solicitation of the proposed procurement(s) described herein using other than full and open competition, pursuant to the authority of 10 U.S.C. 3204(a)(1) and (b)(B)(i) and (ii).



Appendix A

The following is a list of projects using the Specified Manufacturer[s] and Product Line[s] advanced meters and the estimated cost of the proprietary components of those meters for the duration of this CJ&A.

	PROJECT NO.	DESCRIPTION	PROGRAM YEAR	FUNDING TYPE	ESTIMATED NO. OF AMI METERS	MILCON (Y/N)
2	J-875	Battle Staff Training Facility (BSTF)	JFY24	MAMIZU	1	No
Total per Funding Source						
CJ&A Total						